

25STCV35554 25STCV35554

County: los-angeles

Division: Civil Law and Motion

Department: 414

Hearing date: 2026-09-24

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C414%2C09%2F24%2F2026

Source SHA-256: dc4e7e51b5ecb44efbb2f0efe17294902f0b40d49ac16adf5066b2e79bedf665

Case Number: 25STCV35554 Hearing Date: September 24, 2026 Dept: 414

25STCV35554

Michele Nasatir v. David Arakelyn et al.

Thursday,

September 24, 2026

[TENTATIVE] ORDER SUSTAINING IN PART AND OVERRULING IN PART DEMURRER TO PLAINTIFF'S FIRST AMENDED COMPLAINT BY DEFENDANT, FIRST CITIZENS BANK AND TRUST COMPANY (0619)

I.

BACKGROUND

The first amended

complaint alleges that Plaintiff wrote and signed a check for \$118,600 to make a quarterly tax payment to the United States Treasury ("the Original Check") through her account at First Citizens Bank & Trust Company, ("FCB"). Plaintiff alleges that Oscar Castillo ("Castillo") and David Arakelyan ("Arakelyan"), are members of OD Exotic Rentals, LLC, ("ODE"). Plaintiff alleges that Arakelyan and Castillo are signatories of a Bank America ("BOA") account. Arakelyan fraudulently obtained the original FCB check from the United States Post Office and altered it to make himself and ODE the payees (the "Washed Check"), but did not alter the memo line indicating the check was for payment of quarterly taxes. Arakelyan then deposited the check into the BOA account.

The first amended complaint alleges that BOA accepted the Washed Check despite clear signs of the fraudulent nature of the check. Plaintiff alleges three causes of action against Castillo Arakelyan and

ODE. The fourth cause of action is one for negligence against BOA and FCB.

FCB demurs to the negligence claim for failure to state a cause of action for the following reasons: the negligence claim is displaced by the California Uniform Commercial Code ("UCC") which precludes plaintiff from asserting fraud or forgery against FCB and FCB has no recognized duty owed to Plaintiff. Additionally, the claim is barred by the statute of limitations.

II.

LEGAL STANDARDS

A demurrer tests the sufficiency of a complaint as a matter of law and raises only questions of law. (Schmidt v. Foundation Health (1995) 35 Cal.App.4th 1702, 1706.) In testing the complaint's sufficiency, the court must assume the truth of the properly pleaded factual allegations as well as facts that can be reasonably inferred from those expressly pleaded facts. The court may also consider matters properly subject to judicial notice. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

The court may not consider contentions, deductions, or conclusions of fact or law. (Moore v. Conliffe (1994) 7 Cal.4th 634, 638.) Plaintiff is required to allege facts sufficient to establish every element of each cause of action. (Rakestraw v. California Physicians Service (2000) 81 Cal.App.4th 39, 43.) Where the complaint fails to state facts sufficient to constitute a cause of action, courts should sustain the demurrer. Code Civ. Proc., § 430.10(e); (Zelig v. County of Los Angeles (2002) 27 Cal.4th 1112, 1126.)

Sufficient

facts are the essential facts of the case "with reasonable precision and with particularity that is sufficiently specific to acquaint the defendant with the nature, source, and extent of his cause of action." (Gressley v. Williams (1961) 193 Cal.App.2d 636, 643-644.) Whether the Plaintiff will be able to prove the pleaded facts is irrelevant. (Stevens v. Superior Court (1986) 180 Cal.App.3d 605, 609-610.)

A

demurrer may also be sustained if a complaint is "uncertain." Uncertainty

exists where a complaint's factual allegations are so confusing, they do not sufficiently apprise a defendant of the issues it is being asked to meet. (*Williams v. Beechnut Nutrition Corp.* (1986) 185 Cal.App.3d 135, 139, fn. 2; Code Civ. Proc., § 430.10(f).)

A

pleading is required to assert general allegations of ultimate fact.

Evidentiary facts are not required. (*Quelimane*

Co. v. Stewart Title Guaranty Co. (1998)

19 Cal. 4th 26, 47; *Lim v. The.TV Corp. Internat.* (2002)

99 Cal. App. 4th 684, 690.)

III.

DISCUSSION

A.

The demurrer is not procedurally

defective as Plaintiff contends.

Code

of Civil Procedure § 430.41 states: "A

party demurring to a pleading that has been amended after a demurrer to an earlier version of the pleading was sustained shall not demur to any portion of the amended complaint, cross-complaint, or answer on grounds that could have been raised by demurrer to the earlier version of the complaint, cross-complaint, or answer." (Code Civ. Proc., § 430.41.)

BOA

was the demurring party to the claim. The Court granted leave to amend solely as to the negligence claim. (M.O. p. 5.) The statute does not apply to a party demurring for the first time.

B.

Defendant has demonstrated that

the common-law negligence claim is displaced by the UCC.

The

negligence claim alleges that Defendant FCB, as Plaintiff's drawee and depository bank, owed Plaintiff a duty to exercise ordinary care in connection with the handling and payment

of items drawn on Plaintiff's account, including the duty to pay only those items that were

properly payable and not materially altered. (FAC ¶ 48.) Plaintiff alleges that the Washed Check bore obvious and material indicia of alteration and irregularity because the payee was altered from U.S. Treasury to "Arakelian-Od Exotic Rental LLC" and the memo line indicated it was for a tax payment. Plaintiff alleges the amount of the check was inconsistent with Plaintiff's longstanding account history. (FAC ¶ 50.)

FCB

breached its duty by honoring the Washed Check although it was not properly payable. (FAC ¶ 55.)

Defendant

contends that the UCC displaces a common law claim for negligence. Commercial Code 4401 states that "[a] bank may charge against the account of a customer an item that is properly payable from that account even though the charge creates an overdraft. An item is properly payable if it is authorized by the customer and is in accordance with any agreement between the customer and bank." (Cal. U. Com. Code, § 4401 (a); Chino Commercial Bank, N.A. v. Peters (2010) 190 Cal.App.4th 1163, 1173 ["This provision displaces a common law claim for negligent payment of an 'item' on a customer's account."].)

However,

Plaintiff cites Kurtz-Ahlers, LLC v. Bank of America, N.A. (2020) 48 Cal.App.5th 952 which states that it is "well established that a bank has 'a duty to act with reasonable care in its transactions with its depositors ... which duty is an implied term in the contract between the bank and its depositor. (Kurtz-Ahlers at 956.)

Defendant

argues that Kurtz narrows the duty that banks owe, and that a bank does not owe a common law negligence duty to police depositors' accounts for fraud. (Id.) 956.) As Defendant recognizes, the case does not discuss displacement by the UCC, however. Under Chino, the claim that FCB breached its duty of care by honoring the check appears precluded by the UCC. Other cases cited by Defendant are in accord:

· Joffe

v. United California Bank (1983) 141 Cal.App.3d 541, 557–558 ["Section 4401, subdivision (1) explicitly permits banks to charge a depositor's account for 'properly payable' items drawn from that account. Thus, if Continental's signature was authorized and the check was "properly payable," UCB comes within the protection of the statutes. Similarly, if Continental's signature was not authorized and the check was not 'properly payable,' the Joffes may recover under the Code. The principles of tort law are therefore displaced by the particular provisions of the Code in this instance, and the demurrer will stand. (Cal. U. Com. Code, § 1103."].

.

A.B.

Concrete Coating Inc. v. Wells Fargo Bank, N.A. (E.D. Cal. 2020) 509 F.Supp.3d 1217, 1224 ["Section 4406, which provides particular rules governing the duties between a customer and a bank with regard to forged checks, displaces common-law rules governing the duties between those parties in that situation, and thus displaces plaintiff's negligence claims against defendant here."]

Plaintiff

relies on Sun 'n Sand, Inc. v. United California Bank (1978) 21 Cal.3d 671 for the proposition that the negligence claim is not displaced by the UCC. That case is distinguishable as it involved a check made out to the bank who allowed an employee to deposit the check into her own account. (Id. at 704 ["When a bank named as payee on a check receives and negotiates the check, it holds the funds for the use of the drawer, and if the bank diverts the funds to an unauthorized third party, including the drawer's employee, it does so at its own risk."].)

Moreover, Sun 'n Sand's precedential value has been questioned as it was "not determined by the normal complement of seven justices but was heard before but five. Of the five justices who participated in the decision, the first or lead opinion had the support of but two. It is well established that an opinion that expresses the views of less than a majority of the members of the court is not precedent." (Roy Supply, Inc. v. Wells Fargo Bank (1995) 39 Cal.App.4th 1051, 1067.)

C. Whether

the claim is barred by the one-year limitations period.

Defendant relies on Cal. U. Com. Code, § 4406, (f) which states:

"Without regard to care or lack of care of either the customer or the bank, a customer who does not within one year after the statement or items are made available to the customer (subdivision (a) discover and report the customer's unauthorized signature on or any alteration on the item is precluded from asserting against the bank the unauthorized signature or alteration. If there is a preclusion under this subdivision, the payer bank may not recover for breach of warranty under Section 4208 with respect to the unauthorized signature or alteration to which the preclusion applies."

This provision "is not per se a statute of limitation but instead is an issue-preclusion statute. Unlike a statute of limitations, it does not purport to bar an action against a bank; rather, it simply precludes a customer from asserting a forgery or alteration against the bank if the customer has failed to discover and report the forgery or alteration to the bank." (Roy Supply, Inc. v. Wells Fargo Bank (1995) 39 Cal.App.4th 1051, 1065–1066.) The preclusion applies if the customer must prove a forgery in order to establish the claim. However, "any claim that is not dependent upon proof of the forgery will not be precluded by section 4406, subdivision (4), although the customer will still be precluded from asserting the forgery in pursuing that claim." (Id.)

Plaintiff relies chiefly on policy reasons articulated by Sun 'n Sand that the one-year period applies in actions seeking to establish warranty liability under an implied contractual warranty or the UCC's statutory warranty. (Sun 'n Sand at 698.)

Plaintiff argues that for reasons of policy, a three-year statute of limitations should apply. As previously discussed, this case does not have precedential value.

The statute requires the customer to discover and report the alteration within one year after the statement or items are made available. (UCC § 4406.) Plaintiff alleges that she wrote the check on September 1, 2024. (FAC ¶ 10.) Plaintiff does not allege when the check was deposited into Arakelyan's account or when FCB honored the check. (FAC ¶ 17, 21.) Plaintiff did not discover the fraudulent check until October of 2025 when the U.S. Treasury notified her that Plaintiff did not make her quarterly tax payment. (UF 22.) Plaintiff alleges she sent a demand letter to both BOA and FCB on November 13, 2025.

It is not clear whether this claim is precluded because Plaintiff does not allege when the "statement or items" were made available to her to establish that her notification to the bank was within the one-year period. (UCC § 4406(f). In order for the court to sustain demurrer to the complaint based on a statute of limitations defect, "the defect must clearly and affirmatively appear on the face of the complaint... . A demurrer will not lie where the action may be but is not necessarily barred." (Citizens for a Responsible Caltrans Decision v. Department of Transportation (2020) 46 Cal.App.5th 1103, 1117; Marshall v. Gibson, Dunn & Crutcher (1995) 37 Cal.App.4th 1397, 1398.)

Accordingly, demurrer is overruled on this ground.

IV. CONCLUSION

Based on the foregoing the Court SUSTAINS demurrer on grounds the negligence claim is precluded by the UCC. The demurrer is OVERRULED on grounds of the statute of limitations.